

Johnson & Johnson — The 1982 Tylenol Crisis: The Gold Standard in Crisis Management

Key Facts

Company	Johnson & Johnson
Industry	Healthcare and Consumer Products
Event	The Tylenol Crisis — September/October 1982
Impact	7 deaths in Chicago, \$100 million loss, 31 million bottles recalled
Outcome	96% of market share recovered within one year

Executive Summary

In the autumn of 1982, every company's nightmare happened. Seven people died in Chicago after taking Tylenol capsules — America's best-selling painkiller and a product representing 17% of Johnson & Johnson's profits. The company quickly discovered that an unknown person had laced Tylenol bottles with cyanide on store shelves. The problem was not J&J's manufacturing. But the public would not distinguish.

CEO James Burke faced two choices: the legal (minimal) option advised by the company's lawyers and the FBI — a limited recall from the Chicago area only, and denial of responsibility because the contamination happened after manufacturing. Or the ethical option dictated by "Our Credo" — J&J's founding document written by Robert Wood Johnson in 1943, which clearly states that the company's first responsibility is to "the doctors, nurses, patients, mothers and fathers, and all others who use our products."

Burke chose the ethical option. He recalled 31 million bottles from the market — every Tylenol bottle in America — at a cost of \$100 million. It was the largest product recall in American history at the time. He stopped all advertising immediately. He set up a free hotline for the public. He cooperated fully with the media instead of hiding. Most importantly: he invented the "triple-sealed" package — a tamper-resistant cap, plastic wrap, and foil seal — which became the industry standard for pharmaceutical packaging to this day.

The result: within one year, Tylenol recovered 96% of its market share. J&J went from a company accused of causing deaths to the company cited in business schools around the world as the gold standard for crisis management.

Discussion Questions

- Why does legal advice often conflict with ethical advice in a crisis? How do you choose between them?
- How did the Tylenol crisis turn from an existential threat into a lesson in building lasting trust?
- What makes a "corporate credo" an effective decision-making tool in a crisis — rather than just a public-relations document?